EXECUTIVE SUMMARY

I. Introduction

Tuao is a 1st class municipality situated in the western part of Cagayan Valley, called the Itawes Region and composed of 32 barangays. The Municipality, which is under the third Congressional District of Cagayan, has a population of 57,154 people according to the 2007 National Statistics Office census. The recorded history of Tuao began in 1604 when founded by the Spanish Civil Government.

The Commission on Audit has adopted a risk-based audit approach that aligns the audit process more closely with the government's needs to improve the governance structure of agencies, particularly in the area of financial reporting; provides the users of the financial statements a higher level of assurance that agency's processes are designed and operating effectively; enables auditors to check compliance of agency with laws, rules and regulations and determine whether related compliance risks are properly addressed; strengthens accountability in the agencies; and recommends value-added deliverables and measures to improve the efficiency and effectiveness of government operations noted in the course of the financial audit.

II. Scope and Objective of the Audit

The audit covered the accounts and operations of the Municipality of Tuao, Cagayan for CY 2024 and was aimed at determining whether management presented fairly the financial statements of the Municipality in adherence to the generally accepted accounting principles; whether prevailing laws, rules and regulations have been complied with; and funds were utilized in the most efficient, effective and economical manner. Financial, compliance and performance audits were conducted to achieve these audit objectives.

III. Financial Highlights

The highlights of the financial position, financial performance, appropriations, allotments and obligations of the Municipality for the year ended December 31, 2024, with comparative figures for CY 2023, are as follows:

Accounts	2024	2023	Increase (Decrease)
Financial Position			
Total Assets	₱ 863,008,925.75	₱ 846,308,337.08	₱ 16,700,588.67
Total Liabilities	₱ 120,464,005.80	₱ 125,110,249.05	₱ (4,646,243.25)
Total Government Equity	₱ 742,544,919.95	₱ 721,198,088.03	₱ 21,346,831.92
Financial Performance			
Total Income	₱ 300,894,802.59	₱ 284,654,843.70	₱ 16,239,958.89
Total Expenses	₱ 269,606,127.57	₱ 301,466,952.43	₱ (31,860,824.86)

Appropriations, Allotments and Obligations			
Total Appropriations – Current	₱ 308,573,005.52	₱ 410,219,000.10	₱(101,645,994.58)
Total Obligations – Current	₱ 241,503,445.19	₱ 314,134,477.39	₱ (72,631,032.20)
Total Appropriations – Continuing	₱ 154,223,493.24	₱ 139,161,559.94	₱ 15,061,933.30
Total Obligations - Continuing	₱ 56,289,384.57	₱ 53,216,217.70	₱ 3,073,166.87

The table below presents the fund transfers received by the Municipality from other agencies totaling P65,097,791.06, with comparative figures for CY 2023. There were no funds transferred to other agencies during the year.

	2024	**2023**	**Increase (Decrease)**
Funds Received from:			
National Government Agencies (NGAs)	₱ 64,124,811.06	₱ 92,864,349.76	₱ (28,739,538.70)
Local Government Units	₱ 972,980.00	₱ 20,030,000.00	₱ (19,057,020.00)
Total	₱ 65,097,791.06	₱ 112,894,349.76	₱ (47,796,558.70)

IV. Operational Highlights

The LGU Tuao is headed by the Municipal Mayor, Honorable William N. Mamba, and Vice-Mayor, Honorable Francisco N. Mamba Jr. For CY 2024, the Municipality had a total of 571 personnel complement, consisting of 68 permanent, 12 elective, 12 co-terminus, 48 casual, 4 contract of service and 429 job order status.

In addition, the LGU Tuao had accomplished significant and developmental projects in Calendar Year 2024, to wit:

Name of Project	**Amount**
1. Concreting of Farm to Market Road, San Luis, Tuao	₱ 6,606,880.32
2. Construction of Core Shelter for Calamity Victims	1,999,168.31
3. Construction of Multi-Purpose / Evacuation Center	63,955,259.36
4. Backfilling (Ground Land fill) of Proposed New Government Center	7,498,732.58
5. Concreting of Farm to Market Road	11,755,142.35
6. Installation of Hydroponic and Micro Sprinkler Irrigation System	451,671.94
7. Construction of Greenhouse Structure	636,236.42

V. Independent Auditor's Report on the Financial Statements

The Auditor rendered a qualified opinion on the fair presentation of the financial statements of the LGU Tuao for the year-ended December 31, 2024, due to: *(a) inappropriate classification of various expenses incurred totaling ₱25,173,910.56 under the Other Maintenance and Operating Expenses (Other MOE) instead of the specific Maintenance and Other Operating Expenses (MOOE) account resulting in the overstatement of Other MOE account by ₱25,173,910.56 and understatement of the specific MOOE accounts totaling to the same amount; (b) direct recording of the*

procurement of various office supplies, drugs and medicines totaling to P12,110,966.50 as outright expenses instead of the appropriate inventory accounts; and (c) classification of tangible items with individual cost below P50,000.00, totaling to ₱220,407.00, as Property, Plant, and Equipment (PPE) instead of semi-expendable property and issuance of semi-expendable properties in CY 2024 and in the prior years were not expensed/charged to Prior Period Adjustment and Government Equity.

VI. Summary of Significant Observations and Recommendations

The significant audit observations and recommendations for CY 2024 other than the bases for the modified opinion that needs immediate attention and action by the LGU Tuao are as follows:

1. **Other Receivables account aging three (3) years or more totaling P0.158 million remained unsettled contrary to Section 6.1 of COA Circular 2016-005, which may result to loss of government funds and affects fair presentation of accounts in the financial statements.**

   We recommended that Management evaluate the collectability of these receivables, intensify collection efforts on the past-due accounts and consider the initiation of legal remedies for accounts that remain unpaid despite the issuance of demand letters, in order to safeguard government funds and uphold fiscal accountability.

2. **Special Education Fund (SEF) portion of the Real Property Tax (RPT) collections in CY 2024 amounting to P3.546 million were not transferred from the General Fund (GF) bank account to the SEF bank account as at December 31, 2024, contrary to the provisions of the Local Government Code of 1991 (RA No. 7160), which may cause potential delay in the implementation of education-related programs, projects and activities (PPAs) due to lack of accessible SEF funds.**

   We recommended that Management instruct the Municipal Treasurer to initiate the immediate transfer of the SEF collections from the GF bank account to the SEF bank account in compliance with Section 272 of RA No. 7160.

   We also recommended that Management establish a regular fund transfer schedule and implement monitoring controls to ensure timely release and proper SEF utilization ensuring delivery of basic educational services to constituents.

3. **Out of the total appropriation of P129.741 million for the 20% Development Fund (DF), only P49.718 million or 38.32%, were utilized, leaving a significant amount of unutilized balance totaling P80.023 million or 61.68% of the total appropriation; preventing the attainment of the desirable socio-economic developmental and environmental management outcomes under DBM-DOF-DILG Joint Memorandum Circular No. 1 dated November 4, 2020.**

We recommended that the Management maximize the utilization of the 20% DF by expediting the implementation of the pending PPAs and identify causes of non-implementation and to develop feasible and specific solutions to effectively implement developmental projects for the attainment of the socio-economic objectives of these PPAs.

We also recommended Management, moving forward, to exercise prudence, diligence, and precision, based on available data, in evaluating and monitoring the progress of each project to ensure that objectives are achieved within the targeted timeframe and to optimize the utilization of its funds.

4. **Local Disaster Risk Reduction and Management (LDRRM)-Mitigation Fund for CY 2024 and previous years' unexpended LDRRMF balances totaling P38.287 million was not optimally utilized due to non-monitoring of the implementation of LDRRM Plan and non-preparation of LDRRMF Investment Plan, with only P1.966 million or 5.13% utilization as of December 31, 2024, leaving an unutilized balance of P36.321 million, which is not in accord with the declared policy of the State to strengthen the capacity of the Local Government Units to build a disaster resilient community as provided in Section 2(e) of Republic Act No. 10121.**

We recommended that Management:

a. ensure the timely utilization of LDRRMF for disaster risk reduction and management activities, through proper planning and monitoring of implementation, in order to improve the LGU's ability to prepare for and respond to threats brought about by various calamities and disasters; and

b. require the concerned personnel to prepare the LDRRMF Investment Plan annually following the prescribed format, as shown in Annex A of COA Circular No. 2012-002 dated September 12, 2012, for the effective monitoring and evaluation of the utilization of LDRRMF.

5. **84 plantilla positions with an allotted budget for salaries of ₱ 23.398 million remained unfilled as at year-end, contrary to the staffing mandates under Section 76 of Republic Act No. 7160 (RA 7160) otherwise known as the Local Government Code of the Philippines, denying job opportunities for qualified applicants in view of the government's agenda to provide employment.**

We recommended that Management:

a. prioritize and consider filling-up the vacant positions by hiring qualified employees or expedite promotion of deserving employees to enhance its services to attain full implementation of programs, plans and activities of the LGU, maximizing benefits to the community and supporting equitable job opportunities;

b. widen job advertisement reach by using social media, LGU website and job fairs in addition to the CSC Bulletin;

c. create attractive and informative job postings that clearly state benefits, opportunities of career growth, and the value of public service; and

d. assess the relevance and necessity of existing positions, especially those that have remained vacant for extended periods, to determine whether they are still essential to the LGU's operations or can be reclassified, merged, or abolished in accordance with applicable CSC guidelines.

VII. Summary of Total Suspensions, Disallowances and Charges

There were no Notices of Suspension, Disallowance or Charge issued to the Municipality.

VIII. Status of Implementation of Prior Years' Audit Recommendations

The status of implementation of prior years' audit recommendations embodied in CY 2023 Annual Audit Report are summarized as follows:

Status of Implementation	**Number**	**Percentage**
Implemented	16	57.14%
Not Implemented	9	32.14%
Not Implemented and Reiterated in Part II of CY 2023 AAR	3	10.72%
Total	**28**	**100.00%**